

Changes to foreign resident CGT regime

On 10 April 2026, exposure draft legislation was released in relation to the 2024-25 Federal Budget measure to strengthen Australia's foreign resident CGT regime. Consultation on the draft legislation is open until 24 April 2026 (i.e., only for a very short two weeks).

The key elements of the exposure draft legislation are as follows:

1. A **statutory definition of "real property"** has been introduced to explicitly include (inter alia):
 - a. any interest in or right over land;
 - b. a thing (or combination of things) that is "fixed on land" or "installed on land" and is, or is reasonably expected to be, situated on the land for the majority of its useful life (whether or not it is a fixture at general law);
 - c. a lease, licence or contractual right exercisable over any of the above.

Importantly, the statutory definition of "real property" is not exhaustive meaning that any asset that is regarded as "real property" under its ordinary meaning is also regarded as "real property".

2. In determining whether an interest, right or thing on or over land is "real property", the treatment of any state or territory law (e.g., **statutory severance** provisions) will be disregarded.
3. The definition of Taxable Australian Real Property ("TARP") is proposed to be expanded to also include **water entitlements** in relation to a water resource situated in Australia, and an **option or right to acquire** a CGT asset over TARP assets.
4. The draft explanatory memorandum lists **various classes of assets** intended to be caught by the proposed changes. These include licence arrangements for data centres, various renewable energy assets, substations, rights in relation to gas pipelines, mining plant and equipment, water licences, forestry and agricultural assets, transmission lines, underground infrastructure and pipes.
5. The following changes to the definition of "real property" will apply **retrospectively** to CGT events occurring on or after 12 December 2006 (the date on which the rules in Division 855 commenced):
 - a. ignoring the treatment of any interest or right over land under any state or territory law;
 - b. inclusion of a thing (or combination of things) that is "fixed on land" and is, or is reasonably expected to be, situated on the land for the majority of its useful life (whether or not it is a fixture at general law);
 - c. a lease of either of the above.

All other amendments are to apply to CGT events that occur from the start of the quarter after assent of the enabling legislation. However, **no transitional relief** has been offered for the changes in respect of any future CGT events for existing investments.

6. Indirect Australian real property interests ("IARPI") are to be defined to be a non-portfolio membership interest (i.e., 10% or greater interest) held by an entity in another entity that satisfies the principal asset test ("PAT") at the point-in-time of testing OR at **any time during the preceding 365 days**. Further, **mining information** is to be included in the calculation of TARP assets for the purposes of the PAT. This change will require valuations to be considered for the 365 day period prior to the date of the CGT event.
7. Under current law, foreign residents disposing of membership interests are able to declare that an interest is not IARPI, and this relieves the purchaser from withholding any withholding tax from the acquisition proceeds unless the purchaser has "knowledge" that the declaration is false. The draft legislation requires:
 - a. For any membership interests with a market value of \$50m or more, a **notice must be given to the ATO** by the foreign resident vendor making the non-IARPI declaration within specified timeframes. The purchaser will need a declaration from the vendor that it has made this notification to the ATO within required timeframes.
 - b. A purchaser cannot rely on any vendor declarations which can be **"reasonably concluded"** to be false. This is an objective test and replaces the current "knowledge" test. This means that the purchaser will need to consider if a reasonable person would objectively conclude that the declaration provided is correct and this may require some diligence to be undertaken by the purchaser on the declaration before it relieves any withholding tax obligation.
8. A **50% CGT discount** is to be introduced for divestment of **Australian renewable energy assets** that are taxable Australian property by a foreign resident company or trust up to 30 June 2030. Such assets include membership interests in an entity where 90% or more of the underlying value of the entity's TARP assets is attributable to Australian renewable energy assets. Note, a look-through approach applies for interposed entities. Further, there are integrity rules that prevent the artificial inflation of renewable energy asset values.

Changes to foreign resident CGT regime (cont.)

9. The proposed changes also include a **treaty rule**, whereby changes made to the definition of real property also carry through to relevant tax treaties for any future transactions. This is achieved through an amendment to the *International Tax Agreements Act 1953*, which states that where a treaty provides that the expressions “real property” and “immovable property” take their meaning from domestic law, this is to be read in Australia as a reference to the expanded TARP definition under the tax law (i.e., including all changes noted above).
10. There have been recent Federal Court decisions where the court has held that the relevant assets were not TARP (i.e., Newmont case and YTL case). These court decisions have allowed foreign vendors to disregard capital gains on the divestment of their Australian assets. The proposed changes are likely to impact these cases. In fact, the draft explanatory memorandum notes that the proposed amendments to the law **seek to address these recent judicial decisions which have identified a gap** between the intended and actual operation of the foreign resident CGT exemption.
11. The expansion to the definition of “real property” is only relevant to the foreign resident CGT regime and the tax treaty provisions as noted above. In particular, the proposed expansion of the definition is not applicable to the definition of “**land**” under the “managed investment trust” or “eligible investment business” rules. Rather, such rules will continue to operate under the limited definition of “land”.

The proposed changes have far-reaching effect, including for certain historical CGT events dating back up to 20 years. There is also no grandfathering or transitional relief, meaning that certain assets held by non-residents that are currently not within the ambit of Australian tax may now potentially be subject to material tax on any future divestment by the non-resident. Further, changes to the IARPI rules will cause practical valuation challenges in certain circumstances and the non-IARPI declaration changes will likely cause a need for further diligence and ATO engagement for any transactions. The limited (2-week) consultation period to the exposure draft legislation suggests that there may not be many changes to the draft law before it is introduced into Parliament (perhaps in time for the 2026-27 Federal Budget) to be handed down on 12 May 2026.

City Beach restructure – High Court refuses special leave to appeal

On 9 April 2026, the High Court refused the Commissioner’s special leave to appeal against the Full Federal Court decision in *FC of T v Hicks [2025] FCAFC 171*. In dismissing the appeal, the High Court noted that “the proposed appeal does not raise any issue of principle and has insufficient prospects of success to warrant a grant of special leave”.

The case concerned the tax treatment of a 2016 restructure, which involved the interposition of a new holding company over the City Beach Trust and a selective share capital reduction. The proceeds from the capital reduction were used to repay a Division 7A loan. The Commissioner argued that the transactions were designed to substitute a taxable dividend with non-assessable capital returns and therefore sought to apply section 45B and the general anti-avoidance rules in Part IVA. The Commissioner’s position was dismissed (including unanimously on appeal by the Full Federal Court) – rather, the court found that the restructure was undertaken to facilitate repayment of the Division 7A loan whilst preserving the pre-CGT status of certain assets.

Kilgour – High Court refuses special leave to appeal

The High Court has refused the taxpayer’s special leave to appeal the Full Federal Court decision in *Kilgour & Anor v FC of T [2025] FCAFC 183*.

The Full Federal Court decision dismissed the taxpayer’s appeals against a Federal Court decision which had affirmed the inclusion of the taxpayers’ full entitlements to the proceeds of a share sale agreement in their assessable income. The taxpayers had argued that they should be assessed on a lower amount than that received because the full proceeds were inflated by the synergistic value that arose from the acquisition by a single purchaser of 100% of the shares. The court held that the value of the taxpayers’ shares was not less than the proceeds received on their disposal.

Thin Capitalisation – BoT Consultation

The Board of Taxation has released a [Consultation Guide](#) to explain the process of its independent review into the thin capitalisation amendments. The Guide is designed to support open and constructive engagement with interested stakeholders participating in the Board’s review which commenced on 1 February 2026. The Board notes that it will accept written submissions to the review until 18 May 2026.

Contact

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